

Business Case

The problem this project exists to solve — stated as a hierarchy of primary, secondary and tertiary problems — and the plan and approach chosen to solve it.

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Initiative JSE SME Capital Matching

Scope 1,116 SME funding applications, 2025 round

01 Background

The JSE's SME Capital Matching Initiative connects small businesses with investors so they can raise the capital they need to grow. In its 2025 round the initiative received **more than 1,100 funding applications** from SMEs seeking investment.

Each application is a real opportunity — a business that could be matched to a funder and a deal that, once closed, strengthens the initiative's credibility and draws further capital in. But an opportunity is only realised if the right applicant reaches the right investor quickly. That is precisely where the volume becomes a problem.

02 The problem, as a hierarchy

The headline issue has knock-on effects. Separating the root cause from its consequences is what makes the solution targetable.

Primary Volume outpaces review capacity

Over 1,100 applications is far more than the SME team can review, assess and match by hand in any reasonable time. The bottleneck is human review capacity against application volume — and it is the source of everything below.

Secondary Consequences of the bottleneck

- **Low conversion rate.** When matching is slow, fewer applicants are connected to investors, and strong businesses wait in a queue instead of being funded.
- **The best applicants aren't surfaced first.** Genuinely investor-ready SMEs are indistinguishable from the rest inside an undifferentiated pool of a thousand, so they are not prioritised.
- **Inconsistent, unrepeatable assessment.** Manual triage is subjective and can't be reproduced round to round, making prioritisation hard to defend or improve.

Tertiary Second-order effects

- **A weak reputation loop.** Few visible successes make it harder to attract new investors, which limits future capacity — the shortage feeds itself.
- **No evidence asset for investors.** The team has no quantified, credible view of the pipeline to place in front of prospective funders.

- **Unfair treatment of incomplete applications.** Messy, partially-completed forms can't be assessed consistently, and risk penalising viable businesses for gaps the form created.

THE CORE PROBLEM IN ONE LINE

The initiative has no efficient, objective, repeatable way to decide *which* applicants to advance first — so strong businesses go unmatched, conversion stays low, and the reputation needed to attract new investors never builds.

03 Objectives

Objective	What success looks like
Raise the conversion rate	The most investable SMEs are identified and presented to funders first, so more applications become funded deals.
Replace manual triage	An objective, repeatable prioritisation that runs on demand and gives every round the same treatment.
Attract new investors	A quantified, transformation-strong pipeline the team can present as evidence to draw fresh capital into the initiative.
Treat every applicant fairly	No business is discarded or penalised for gaps the application form itself failed to enforce.

04 The plan & approach

Rather than triage applications by hand, the approach builds a **repeatable data workflow** that ingests each intake, cleans it, scores every applicant objectively, and sorts them into action-ready tiers — feeding both an internal priority list and an external investor-facing report.

Stage	What it does	Why this way
1 • Ingest & clean	Repair the messy export into a trustworthy, analysis-ready table.	Nothing downstream is valid until the data is. (Artifact 1)
2 • Score	Give every SME a 0–100 Funding Readiness Score from four weighted pillars, using only fields the form already collects.	An objective, transparent number replaces subjective judgement. (Artifact 3)
3 • Tier	Sort applicants into High / Mid / Low using fixed score thresholds, and rank within.	Fixed cut-offs keep a tier's meaning stable across rounds.
4 • Report	Surface the result through a Power BI dashboard and a ranked shortlist.	One asset guides the team; the other attracts investors. (Artifact 4)

THE VALUE DELIVERED

The workflow converts 1,116 applications into **two assets**: an **internal priority list** with a clear action for each tier — fund the High tier now, develop the Mid tier, remediate the Low tier — and an **external evidence base** the team can show prospective investors. And because it is fully reproducible, every future round gets the same treatment on demand, rather than after weeks of manual review.

05 Scope & boundaries

- **In scope:** cleaning, scoring, tiering and reporting on the self-reported application data for the 2025 round.
- **Out of scope:** creditworthiness and due diligence. The model measures *readiness to present* to an investor, not a lending decision — a funder's own diligence still follows.
- **Data basis:** only what applicants disclosed on the form; no external registry or credit-bureau data is used — mirroring the exact position the SME team is in when it decides who to advance.